

Daily Economic Briefing

Monday 5 October 2026 | Window: Thu 1 Oct 2026 20:00 ET – Sun 4 Oct 2026 20:21 ET (Fri 2 Oct close/AH, the window’s one NYSE session, plus the weekend) | Research cutoff Sun 4 Oct 2026 20:21 ET | Edition 34

Assumptions, corrections and status this edition

- Correction:** an initial secondary read placed Friday’s S&P 500 close at 7,720.44 (+0.70%); superseded here by 7,722.72 (+0.73%) after an independent SPY/VOO ETF-proxy cross-check, both of which closed +0.74%^{[1][2]}.
- Nasdaq Composite touched a fresh *intraday* record Friday, but its close (27,190.86) remains below the closing record of 27,244.28 set 23 Sept 2026 — avoid reading Friday’s session as a new closing high^[5].
- DXY retains an unreconciled cross-vendor magnitude gap (approx. 101.6 vs approx. 101.9 at Friday’s close) though direction is consistent across every FX cross checked — a recurring, previously-disclosed issue, not a new one^[36].
- Henry Hub’s November natural-gas contract still lacks a confirmed CME end-of-day settlement for a second consecutive edition; approx. \$3.03–3.04/MMBtu is corroborated by two independent aggregator routes only, not an exchange print^[33].
- Single-stock options-flow claims sourced for Nike, FICO and Citigroup on Friday were internally contradictory or recycled stale (Thursday-dated) figures across every wire checked — excluded from this edition rather than reported with low confidence; see Annex A.
- NYSE/Nasdaq closing breadth for Friday could not be pinned to one citable, named source (one aggregator figure surfaced without clean attribution) — excluded, consistent with this item’s standing status as normally unobtainable.
- BoJ’s current policy rate (approx. 1.25%) was re-verified directly against the Bank of Japan’s own 18 Sept 2026 statement this edition, closing the re-verification thread flagged last time^[24].
- A secondary-sourced December-FOMC hike-odds range (approx. 65–75%+) surfaced for the first time this edition, unconfirmed against any primary venue — treat with caution; see Section 3.

60-second read

1. September’s jobs report badly missed consensus — nonfarm payrolls +29,000 vs. approx. 84,000–90,000 expected, unemployment up to 4.2%, and July revised to an outright decline — crushing October-hike odds to a converged 16–22% band across Polymarket, Kalshi and CME FedWatch (from a 25–38% cross-venue split Thursday) and driving a broad rally: S&P 500 +0.73% to 7,722.72, Nasdaq +1.20% to an intraday-record-setting 27,190.86, VIX down 6.6% to 15.31.

2. The AI-infrastructure/optics trade extended hard (Applied Optoelectronics +7.71%, Coherent +5.59%, Lumentum +3.79%) and Tesla jumped 4.65% on a Q3 delivery beat, while Thursday’s two earnings winners diverged sharply: Accenture gave back 6.31% on profit-taking even as Synopsys held its gain essentially flat.

3. Nike extended its post-earnings slide to a 13-year low (-3.64% to \$33.87) even as FICO’s Thursday after-hours plunge fully reversed, closing effectively flat — a genuinely two-sided week for the stock that is now resolved.

4. Treasury yields showed a sharp intraday-vs-close divergence: an initial bond rally on the weak jobs data (10-year briefly near 5.18%) fully reversed to close higher across all three tenors (2/10/30-year all +2 to +5bp) — a reminder that Friday’s yield move is not a clean read-through of the rate-odds collapse.

5. Fresh CFTC positioning (data through Tue 29 Sept) shows leveraged funds running their most lopsided short in Russell 2000 futures at -26.8% of open interest, even as asset managers stay structurally net-long all three major equity-index futures (ES +47.7% of OI, NQ +25.8%, RTY +9.3%).

1. Market recap

S&P 500 7,722.72 +0.73%	Dow Jones 51,176.96 +0.49%	Nasdaq Comp. 27,190.86 +1.20%	Russell 2000 2,832.90 +0.90%	VIX 15.31 -6.59%	10-yr yield 5.28% +4bp
WTI crude \$91.11 -1.90%			DXY approx. 101.6-101.9 -0.16%		

Equities rallied broadly Friday as a badly-missed September jobs report reset Fed-hike expectations: all four major indices closed green, led by Nasdaq’s +1.20% advance on chip and AI-infrastructure strength, with the S&P 500 (+0.73% to 7,722.72) confirmed via both the AP wire and an independent SPY/VOO ETF-proxy cross-check (both +0.74%) after a secondary source had initially logged a slightly lower +0.70% read^{[1][2][6]}. Ten of eleven SPDR sectors closed higher, led by Consumer Discretionary on Tesla’s delivery beat; only Health Care closed red. On the week, the AP wire logs the S&P 500 -0.3%, Dow -1.3%, Nasdaq +0.5% and Russell 2000 -0.2% — a single-sourced weekly recap, disclosed as such^[1].

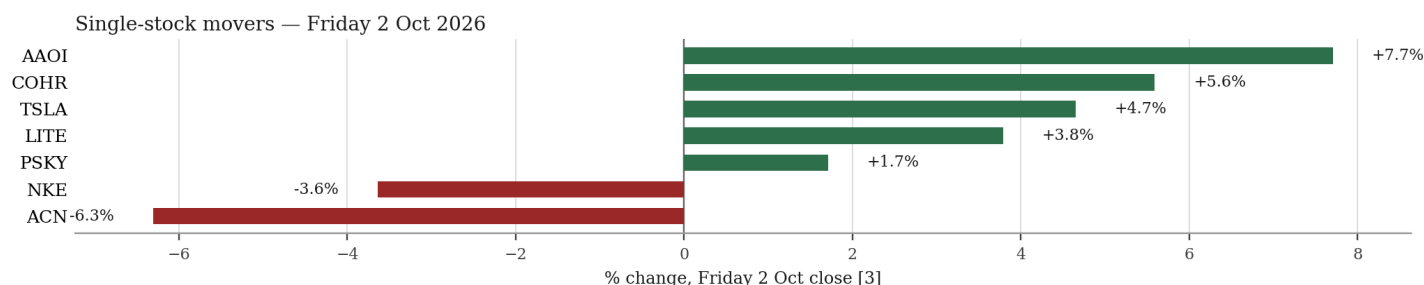
2. Equities and earnings

Sector rotation (SPDR sector ETFs, Friday close)

Sector (ETF)	% chg	Sector (ETF)	% chg
Cons. Discretionary (XLY)	+1.13%	Comm. Services (XLC)	+0.35%
Technology (XLK)	+1.01%	Real Estate (XLRE)	+0.32%
Industrials (XLI)	+0.78%	Cons. Staples (XLP)	+0.25%
Materials (XLB)	+0.66%	Energy (XLE)	+0.19%
Utilities (XLU)	+0.38%	Financials (XLF)	+0.06%
Health Care (XLV)	-0.01%		

Leadership tracked the jobs-report-driven risk-on move: Consumer Discretionary topped the table on Tesla’s delivery beat, Technology followed on continued AI-infrastructure demand, and Health Care was the sole laggard, essentially flat, on lingering single-name overhangs (Danaher, Tempus AI, Moderna)^[4].

Single-stock movers



Ticker	Move	Driver
AAOI	+7.71%	AI-datacenter-optics theme extended into a second session
COHR	+5.59%	Same optics theme; Thursday's PhotonLink/Bernstein-init story carried through
TSLA	+4.65%	Q3 deliveries 486,532, down 2.1% y/y but beat approx. 462,000-464,000 consensus ^[7]
LITE	+3.79%	Optics theme, third consecutive green session
PSKY	+1.71%	Partial rebound from Thursday's debt-pricing-driven drop; Warner Bros. Discovery deal's last legal hurdle cleared, set to close 6 Oct ^[14]
NKE	-3.64%	13-year low; FQ1 miss/guidance-cut reaction continued into the regular session after an approx. -8.7% Thursday after-hours drop ^{[10][11]}
ACN	-6.31%	Profit-taking reversal of Thursday's +15.78% earnings pop; Argus still raised its PT to \$260 (from \$220, Buy) ^{[8][9]}

Synopsis (SNPS) held Thursday's Investor Day gain essentially flat (-0.13%), and FICO reversed its Thursday after-hours scare to close effectively flat (-0.08% vs. Thursday's regular close), resolving last edition's open two-sided-story flag; Equifax and TransUnion, watched for mortgage-scoring read-across, showed only modest moves (+0.19% and +2.03%)^{[3][15]}. All seven table movers and the three flat-closers above were independently confirmed via Stockanalysis.com's timestamped Friday close^[3].

Analyst actions Friday: Wells Fargo upgraded BP's ADR to Overweight (PT \$57, from \$48) and cut ExxonMobil to Equal Weight (PT \$182); Barclays cut Mobileye to Equalweight (PT \$9) on a lack of large advanced-content wins and CEO-transition uncertainty^{[12][13]}.

3. Macro, policy and rates

September jobs report (BLS, released Fri 2 Oct, 8:30am ET) — a clear, broad-based miss: nonfarm payrolls +29,000 vs. approx. 84,000-90,000 consensus; unemployment rate 4.2%, up from 4.1% and worse than the approx. 4.1% consensus; average hourly earnings +0.1% m/m / +3.0% y/y. Prior months were revised down sharply — July from +21,000 to an outright -10,000, August from +162,000 to +133,000, a combined 60,000-job downward revision — making this the weakest print of the cycle^[16]. The reaction was immediate and unified across venues: October-hike odds, which had split sharply as of Thursday (Polymarket approx. 25-26% vs. Kalshi/CME secondary citations approx. 36-38%), collapsed together to approx. 17% (Polymarket), approx. 16-18% (Kalshi, secondary) and approx. 17-21.6% (CME FedWatch, secondary) — closing the cross-venue divergence flagged last edition^{[18][19][20]}. Secondary sources also cite elevated December hike odds (approx. 65% Kalshi to 75%+ FedWatch) — a new data point this edition, not yet confirmed against a primary venue; treat cautiously.

Standing facts re-verified fresh against primary sources, all unchanged: Fed Chair Kevin Warsh^[21]; federal funds target range 3.75-4.00%, next FOMC meeting 27-28 October 2026^[22]; Bank of England held at 3.75% (6-3, 17 Sept), next decision Thursday 5 November 2026^[23]; Bank of Japan's policy rate, re-verified directly against its own 18 Sept 2026 statement rather than carried forward, confirmed at approx. 1.25% (7-2 vote, effective 24 Sept), next meeting 29-30 October 2026^[24]; the continuing resolution funding the US government through 11 December 2026 remains in force, no shutdown^[25]; the US-China "30-for-30" tariff framework is unchanged, with no new development over the weekend^[26].

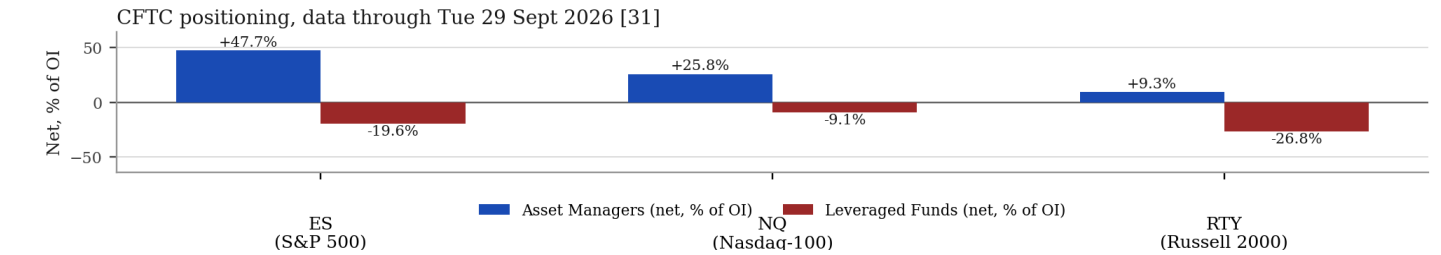
The CFTC posted a new Commitment of Traders report Friday, covering Tuesday 29 September data — see Section 5. Separately, a hearing update in the Meta/Cambridge Analytica penalty case: Judge Francis Mathew did not rule over the weekend, extending the parties' supplemental-briefing deadline to Tuesday 6 October and indicating a decision roughly two weeks after that; New Mexico is seeking \$35-40bn in penalties against Meta's proposed approx. \$3.45bn cap^[27].

4. Commodities and FX

Instrument	Level	Chg	Note
WTI crude (Nov)	\$91.11	-1.90%	Pressured by an emergency SPR release
Brent crude (Dec)	\$102.25	-0.06%	No roll yet; Dec remains front-month as expected
Henry Hub nat. gas (Nov)	approx. \$3.03-3.04	+2.29%	No confirmed CME EOD settlement, 2nd straight edition
Gold spot	approx. \$4,140-4,142	-0.83% to -0.88%	Gave back an initial jobs-report bounce intraday
Gold futures (Dec)	\$4,162.30	-0.95%	Same pattern as spot — no spot/futures split this time
Silver spot	approx. \$60.23-60.27	-0.97% to -1.04%	Also gave back an intraday bounce
Silver futures (Dec)	\$60.42	-1.24%	
Copper (LME cash)	\$14,355/tonne	+0.14%	Via Westmetall ^[35] ; LME.com/metal.com both still unusable
DXY	approx. 101.6-101.9	-0.16% to -0.17%	Magnitude unreconciled across vendors; direction agreed
GBP/USD	approx. 1.3236-1.3243	+0.35%	
EUR/USD	approx. 1.1252-1.1257	+0.09%	
USD/JPY	157.83	-0.15%	A separate 157.10 print was an 8:35am snapshot, not a close

Oil diverged by grade: WTI fell 1.90% on an emergency Strategic Petroleum Reserve release while Brent held almost flat, a genuine supply-side split rather than a sourcing conflict^[30]. Gold and silver both opened higher on the weak jobs print — Kitco’s own headline read “Metals give back jobs-report bounce as oil, yields stay elevated” — before fully reversing to close lower across spot and futures alike, a clean single-instrument move rather than a repeat of Wednesday’s spot/futures split^[34]. The dollar weakened broadly on the jobs miss: DXY, GBP/USD, EUR/USD and USD/JPY’s close all agreed on direction even though the DXY level itself carries an unreconciled vendor gap, consistent with this report’s recurring (and so far always same-session-resolving) DXY-magnitude issue^[36]. Treasury yields told a more complicated story: all three tenors dove sharply on the jobs release (10-year briefly near 5.18%, 2-year near 4.73%, 30-year near 5.57%) before fully reversing intraday to close higher than Thursday (2-year 4.83%, +5bp; 10-year 5.28%, +4bp; 30-year 5.63%, +2bp) — a reminder that Friday’s close is not a clean read-through of the rate-odds collapse^{[17][37]}.

5. Derivatives, volatility and positioning



A new CFTC Commitment of Traders report posted Friday, covering Tuesday 29 September data (3 days old as published; the next report, covering Tue 6 Oct, is due Fri 9 Oct)^[31]. Asset Managers remain structurally net-long all three major equity-index futures (ES +47.7% of open interest, NQ +25.8%, RTY +9.3%), while Leveraged Funds are net-short all three, most lopsidedly in Russell 2000 futures at -26.8% of OI versus -19.6% in ES and -9.1% in NQ — a fresh, consistent OI normalization obtained across all three instruments this time, resolving the partial-coverage gap flagged last edition. Separately, the CFE legacy report shows VIX futures non-commercial positioning net short 79,610 contracts against 421,113 total open interest, as of the same Tuesday 29 Sept date^[32]. The CBOE vol complex posted a sharp, front-end-led crush on the jobs-driven rally, confirmed fresh (not stale) via each series’ own `last_trade_time`: VIX 15.31 (-6.59%), VIX9D 12.06 (-13.86%), VIX3M 18.01 (-3.07%), VIX6M 20.15 (-1.80%), VVIX 87.02 (-5.42%), SKEW 144.88 (+1.48%)^[38]. The VIX9D-vs-VIX front-end inversion widened again, to -3.25 from Thursday’s -2.39, a fifth consecutive session of persistence or widening — continuing to read as a standing feature of the current vol regime rather than noise. Dealer gamma (zerogex.io) flipped decisively positive, from -\$11.58bn Thursday to +\$22.96bn Friday, with the gamma-flip point at 7,667 — spot closed around 56 points above it, a plausible move given Friday’s rally plus the vol crush, and the page’s own 7,723 spot snapshot cross-checked within a point of the actual 7,722.72 close^[39]. No clean, correctly-dated single-stock options-flow story could be verified for Friday — Nike, FICO and Citigroup wires all returned contradictory or stale figures and are excluded; see Annex A. Funding conditions showed no stress: SOFR printed 3.87% for Wednesday 1 Oct^[40].

6. The day ahead

Date	Event	Consensus / context
Mon 5 Oct	ISM Services/Non-Manufacturing PMI (Sept)	Approx. 55.0-55.1% consensus (secondary aggregator; no official poll located), vs. August’s 55.4% actual ^[28]
Tue 6 Oct	Meta/Cambridge Analytica case, supplemental briefs due	Judge Mathew signaled a ruling roughly two weeks after; NM seeks \$35-40bn vs. Meta’s proposed approx. \$3.45bn cap ^[27]
Wed 7 Oct	FOMC minutes, 15-16 Sept meeting, 2:00pm ET	Most relevant scheduled item this week given the live October-hike debate ^[29]
Thu 8 Oct	PepsiCo earnings	—
Fri 9 Oct	Delta Air Lines earnings; next CFTC CoT report (data through Tue 6 Oct)	—

Sector setup we take into the week

- Rate-sensitive and growth names go into the week with October-hike risk largely off the table (16-22% across venues) — a tailwind unless Wednesday’s FOMC minutes reintroduce hawkish language.
- The AI-infrastructure/optics cluster (AAOI, COHR, LITE) enters a third straight green session with no fresh catalyst identified yet for Monday — watch whether it extends on momentum alone or needs new news.
- Nike opens the week at a 13-year low with the FQ1 guidance cut still the dominant overhang in consumer discretionary/footwear; watch for follow-on analyst price-target revisions.
- Dealer gamma’s flip to decisively positive (+\$22.96bn) argues for a dampened realized-vol regime near-term, consistent with a market that just priced out most October hike risk in one session.

Annex A — Data points sought but not verified this edition

- NYSE/Nasdaq closing breadth for Friday 2 Oct — one aggregator figure surfaced without a clean, citable attribution; excluded.
- Henry Hub November-contract confirmed CME end-of-day settlement — only a two-source-corroborated approx. figure obtained, not an exchange print, for a second consecutive edition.
- Exact single-number CME FedWatch and Kalshi October-hike probabilities — both primary pages still block direct fetching; only secondary-cited ranges available.
- December-FOMC hike-odds probabilities (approx. 65-75%+) — secondary-sourced only this edition, not yet confirmed against any primary venue.
- DXY exact Friday close — an unreconciled cross-vendor magnitude gap persists (approx. 101.6 vs. approx. 101.9), direction only is confirmed.
- A second USD/JPY print (157.10, -0.60%) was excluded as an 8:35am snapshot, not comparable to the close.
- Single-stock options flow/skew for Nike, FICO and Citigroup on Friday — every wire checked returned contradictory or recycled Thursday-dated figures.
- Meta/Cambridge Analytica penalty ruling — not yet issued; briefing deadline extended to Tue 6 Oct, decision expected roughly two weeks after.

Annex B — Sources

- [1] AP, “How major US stock indexes fared,” Fri 2 Oct 2026 (via WTOP wire)
- [2] Stockanalysis.com, SPY/VOO/QQQ/IWM ETF history pages, Oct 2 2026 closes
- [3] Stockanalysis.com, single-stock history pages, Oct 2 2026 closes
- [4] Stockanalysis.com, SPDR sector ETF history pages, Oct 2 2026 closes
- [5] CNBC, “Nvidia leads Nasdaq to intraday record,” Oct 2 2026
- [6] TheStreet, “Stock Market Today, Oct. 2, 2026”
- [7] CNBC, “Tesla stock jumps 5% on better-than-expected vehicle deliveries report,” Oct 2 2026
- [8] ad-hoc-news.de, “Accenture stock falls 6 percent after earnings rally,” Oct 2 2026
- [9] Investing.com, Argus Accenture price-target raise to \$260, Oct 2 2026
- [10] CNBC, “Nike falls to 13-year low,” Oct 2 2026
- [11] Yahoo Finance, “Nike stock sinks as revenue misses estimates, expects to cut jobs,” Oct 2 2026
- [12] dailymarketreport.com, “Analyst Upgrades and Downgrades for Friday, 10/2”
- [13] Investing.com, Wells Fargo BP/XOM actions, Barclays Mobileye cut, Oct 2 2026
- [14] Yahoo Finance / CoinCentral, Paramount Skydance debt pricing for Warner Bros. Discovery deal, Oct 1-2 2026
- [15] Stockanalysis.com, Equifax/TransUnion history pages, Oct 2 2026
- [16] BLS, Employment Situation Summary, September 2026, released Oct 2 2026
- [17] CNBC / Charles Schwab, Treasury-yield reaction to the jobs report, Oct 2 2026
- [18] Polymarket, direct fetch, October 2026 Fed-meeting contract
- [19] Secondary citations (CNBC, cryptotimes.io), Kalshi October-hike odds, Oct 2 2026
- [20] Secondary citations (CNBC, fxstreet.com), CME FedWatch October-hike odds, Oct 2 2026
- [21] federalreserve.gov, Board of Governors biography page (Fed Chair Kevin Warsh)
- [22] federalreserve.gov, FOMC meeting calendar
- [23] bankofengland.co.uk, upcoming MPC dates page
- [24] boj.or.jp, Monetary Policy Meeting statement, 18 Sept 2026
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- [26] USTR.gov / whitehouse.gov, US-China Board of Trade tariff framework
- [27] nwaonline.com / santafenewmexican.com, Meta/Cambridge Analytica hearing update, Oct 3 2026
- [28] Secondary aggregator consensus preview, ISM Services PMI, September 2026
- [29] federalreserve.gov, FOMC minutes release schedule
- [30] oilprice.com-derived settlement data / EnergyNow.com, Oct 2 2026
- [31] CFTC, Commitments of Traders, Traders in Financial Futures (financial_if.htm), data through Tue 29 Sept 2026
- [32] CFTC, legacy CFE report (deacboelf.htm), VIX futures non-commercial positioning
- [33] Aggregator Henry Hub November-contract quotes (two independent routes), Oct 2 2026
- [34] Kitco PM Report, Oct 2 2026
- [35] Westmetall.com, LME cash settlement, Oct 2 2026
- [36] Bloomberg, “Dollar Falls as Traders Pare Fed-Hike Bets After Soft Jobs Data,” Oct 2 2026
- [37] home.treasury.gov, daily par yield curve CSV, Oct 2 2026
- [38] cdn.cboe.com delayed-quotes JSON, direct fetch, Oct 2 2026
- [39] zerogex.io, SPX gamma levels, Oct 2 2026, 3:59pm ET
- [40] global-rates.com / sofrate.com, SOFR, Oct 1 2026

Method: every figure traces to a named source in Annex B; where sources disagreed, the better-corroborated figure was used and the conflict disclosed. Nothing estimated or filled from memory — unverifiable items are listed in Annex A. Not investment advice.